EU: Draghi agenda enters critical window ahead of 2027 election cycle

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The EU competitiveness agenda is entering a critical six-month period, during which the EU will advance several legislative initiatives before the 2027 election super-cycle begins and narrows room for compromise.
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Key measures that will likely move forward include plans for deeper capital markets integration, revised antitrust rules to support greater scale, and trade and industrial policy steps to shield critical sectors from unfair competition.
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The EU aims to reach a deal on its next budget for 2028-2034 by early next year, though this will feature only a modest uptick in investment, while proposals to complete banking sector integration remain a long shot and plans for electricity markets integration have been scaled back.

The next six months are the last viable window. The European Commission has presented proposals across much of the agenda, and the focus is shifting to adoption by the European Council and Parliament. We expect meaningful progress on capital markets, antitrust rules, and trade and industrial policy. Plans to expand EU-funded investment and deepen banking and electricity markets integration will likely fall short.

From the spring, the 2027 election super-cycle will narrow governments' room for maneuver, possibly pushing outstanding files to the end of the year and beyond. A National Rally victory in France would pose the greatest risk to the agenda, and it could significantly complicate the adoption of many measures as a new French president, EU partners, and EU institutions find common ground.

Attempts to overly tighten new "Made in EU" mandates will likely fail. Some member states and factions in the European Parliament want to make the proposed local content requirements for procurement and state aid under the Industrial Accelerator Act (IAA) more restrictive. They aim to tighten the requirements, exclude most EU trading partners, and expand the range of sectors covered. Such changes would undermine competitiveness by stifling competition, raising input costs, and inviting

retaliation. More free-market-oriented member states and members of parliament will oppose that approach, and the IAA will probably keep its targeted design. The measure is intended chiefly to level the playing field for EU firms competing against subsidized Chinese producers in critical sectors such as automotive, metals, and clean tech, rather than shield broad parts of EU industry (see EU: EU “Buy European” provisions aimed at reducing China’s EU market access , 28 May 2026).

Separately, the Public Procurement Act would allow national public buyers to restrict bids from certain third countries across most sectors. Without EU-wide rules, the measure could create a patchwork of national regimes and raise compliance costs, especially in sectors that rely on public contracts.

Expect a gradual, sector-specific hardening of EU trade measures against China. Because IAA restrictions will not take effect until 2028, Brussels is focusing on short-term trade defenses to protect key sectors from Chinese overcapacity (see EU, China: Hybrids deal won’t stop gradual EU trade policy tightening , 15 October 2026).

Unlike Washington, Brussels has not moved toward sweeping tariffs on Chinese imports. Instead, the EU will probably extend tariffs and quotas to more products and product groups beyond automotive in the coming months, notably in chemicals and machinery. Member states will also start discussing broader and faster trade tools for the medium term (late 2027 or 2028) to bolster the commission’s limited toolkit and improve its ability to manage retaliation from China.

Capital markets integration will advance, but a breakthrough in banking union is a long shot. Larger member states are prioritizing capital markets integration. The market integration and supervision package (MISP) would shift direct supervision of the largest cross-border firms to the European Securities and Markets Authority. Other measures would revive securitization, expand private pensions, and partly harmonize corporate law. Despite resistance from smaller member states, we expect the MISP and related measures to advance (see: EU sees rare window to advance financial market integration 24 June 2026).

The commission also plans to revive efforts to integrate the banking sector, including through European deposit insurance, but it has not yet tabled new legislative proposals. German opposition to risk-sharing and Italian resistance to allowing the EU bailout facility to backstop the bank rescue fund are unlikely to change. More broadly, government intervention in foreign and at times domestic takeovers remains a major impediment to cross-border banking consolidation.

Energy prices remain stubbornly high even as the green transition stays on track. Hopes that efficiency gains since the 2022 energy shock and the faster renewables build-out would lower prices have been thwarted by this year’s supply crunch, which is unlikely to ease soon. Governments with stronger fiscal positions are subsidizing industrial energy costs under looser state aid rules, but most are not. Decarbonization and electrification will likely continue apace. Growing political pushback has so far produced only limited dilution of EU climate goals, including a partial weakening of the EU’s flagship emissions trading scheme (ETS). A partial softening of the internal combustion engine phaseout will probably come next, and policymakers may further delay the ETS extension to heating and transport. A forthcoming package will accelerate grid-upgrade approvals, but plans to give the commission more say over cross-border interconnections are being watered down.

New merger guidelines, due in the fourth quarter, will make it easier for firms to achieve scale. The draft—the first rewrite in two decades—shows that Brussels will factor scale, innovation, and resilience into its decisions. The shift reflects concerns that Europe’s companies are too small to compete globally. Still, the impact on consolidation remains to be seen. Consumer prices will still serve as the primary

metric in merger reviews, and the changes will likely matter most in sectors where competition is genuinely global, such as defense and clean tech.

EU-funded investment is unlikely to increase significantly. While Germany presses ahead with its infrastructure and defense plan, the pandemic-era Recovery and Resilience Facility (RRF), which favored Southern Europe, is drawing to a close. With no successor to the RRF, the next EU budget will probably include only a small uptick in investment. Cash-strapped member states will resist commission plans to both expand the overall budget and redirect funding toward infrastructure, industrial investment, and R&D (see EU: Governments will blunt plans for more EU investment spending , 7 October 2026).

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